EWCC

DEFENSE & COMPENSABILITY REFERENCE

A practical guide to potential defenses, investigation prompts, and defensible claims decisions

THE EWCC COMPENSABILITY PRINCIPLE
Investigate the facts. Apply the law. Document the decision. Challenge what is unsupported. Pay what is owed.

Employer decision-support resource

1. Purpose: Make Better Compensability Decisions

Workers' compensation is designed to provide benefits for compensable workplace injuries. A reported injury does not, by itself, answer every legal question about coverage. Employers need a disciplined way to recognize potential issues, preserve evidence, ask informed questions, and ensure that the claims administrator evaluates the claim under the law that applies.

A legitimate defense that goes unexplored can lead to avoidable claim costs. An unsupported denial can create additional exposure, including statutory penalties, benefit liability, litigation expense, or bad-faith and unfair-claims-handling allegations where available under applicable law.

What this reference is - and is not

- It is a structured set of investigative prompts and issue-spotting questions for employers and claims oversight teams.
- It is not a checklist for automatically denying claims, a substitute for a jurisdiction-specific legal analysis, or a determination that any particular claim is noncompensable.
- A potential defense is an investigative lead - not a conclusion. Facts, evidence, applicable law, deadlines, and procedural requirements must be evaluated together.

2. Good-Faith Denials: The Foundation

A defensible denial begins with a good-faith investigation - not a desired outcome.

Before denying a claim, the responsible claims professional should have a reasonable factual and legal basis for the decision, based on the information available and the investigation reasonably required in the circumstances. Good faith is demonstrated through the work performed and the reasoning documented; using the words "good faith" does not, by itself, make a denial defensible.

Good-faith denial review

- Investigation: Have the relevant circumstances been investigated, and have reasonable investigative steps been completed?
- Evidence: What witness statements, records, video, incident reports, medical opinions, or other evidence support the decision?
- Legal basis: What statute, legal standard, or recognized defense supports the position?
- Causation and compensability: How do the established facts apply to the jurisdiction's legal requirements?
- Contrary evidence: Has information that could support compensability been considered objectively?
- Documentation: Does the file explain the rationale and preserve the evidence available when the decision was made?
- Timeliness and procedure: Have applicable notice, decision, filing, and benefit-payment requirements been met?
- Ongoing review: Will new evidence be evaluated promptly, and will the decision be revisited when required?

Questions to ask

1. What is the factual and legal basis for the compensability decision?
2. What investigation was completed before the decision was made?
3. Were potential defenses identified? How was each one evaluated?
4. Is there conflicting evidence or missing information that warrants further investigation?
5. What additional information could materially change the decision?
6. Has the decision been reviewed against the applicable state's requirements?
7. What documentation supports the conclusion, and are any deadlines approaching?

3. Initial Compensability Screening

Start with the basic facts before deciding which legal questions need deeper review.

- What exactly happened? Obtain the employee's account in their own words, including the sequence of events.
- When and where did it happen? Confirm location, work schedule, task, and whether the employee was on duty.
- What was the employee doing immediately before the event? Was the activity assigned, incidental to work, personal, or unusual?
- Who witnessed the event? Identify witnesses promptly and obtain separate statements where appropriate.
- Was the event reported promptly? If not, what explanation was given, and what do applicable notice rules require?
- Is there physical, documentary, electronic, or video evidence? Preserve relevant material before it is overwritten or lost.
- What injury or condition is alleged? Distinguish reported symptoms, diagnosis, mechanism of injury, and claimed disability.
- What information is inconsistent, incomplete, or unverified? Do not treat an inconsistency as proof of fraud without evidence.

4. Potential Defenses & Investigation Prompts

The following are issue-spotting prompts. Their legal significance varies by jurisdiction and by the specific facts.

A. Course and Scope of Employment

- Was the employee performing assigned duties or an activity incidental to employment?

- Was the employee on a personal errand, engaged in a personal activity, or acting outside the scope of assigned work?
- Was the location or timing consistent with the employee's work duties?
- Was the employee traveling for the employer, between work sites, or performing a special assignment?
- What policy, job description, time record, dispatch record, or witness evidence helps establish the circumstances?

B. Notice, Reporting, and Filing Requirements

- When did the employee first know of the injury or condition, and when was it reported?
- Was notice given to a supervisor, HR, a hotline, or another designated recipient?
- What do the applicable state's notice and claim-filing rules require? Are there exceptions for delayed discovery or other circumstances?
- Did the employer document the report, response, and follow-up?
- Do not assume a late report automatically bars a claim; verify the rule, exceptions, and any prejudice requirements.

C. Causation, Pre-Existing Conditions, and Aggravation

- What condition is alleged, and what event or work exposure is said to have caused it?
- Is there evidence of prior symptoms, treatment, restrictions, similar injuries, or a pre-existing condition?
- Does the medical evidence distinguish a new injury from an aggravation, acceleration, or exacerbation of a prior condition?
- What causal standard applies—for example, a predominant, major, substantial, or prevailing-factor standard?
- Has a qualified medical professional addressed the relevant causation question using an adequate history and appropriate records?
- A pre-existing condition alone generally should not be treated as an automatic bar. Determine how the state treats aggravation, apportionment, and exceptions.

D. Employment Application Misrepresentation or Undisclosed Conditions

- What exact question was asked on the application or pre-employment medical questionnaire, and what answer was given?
- Was the question lawful and appropriately administered under employment, disability, privacy, and medical-inquiry rules?
- What evidence shows the employee knew the answer was inaccurate, if knowledge or intent is legally relevant?
- Did the employer rely on the representation in hiring, and does the jurisdiction require a specific causal connection to the later injury?
- Was the condition related to the claimed injury, and what medical evidence supports that relationship?
- Do not assume nondisclosure or an inaccurate answer is a defense in itself. Verify each statutory element and consult counsel.

E. Safety Rules, Willful Misconduct, and Prohibited Conduct

- What written safety rule or required procedure was in effect, and was it communicated and enforced?
- Was the employee trained, equipped, and reasonably able to follow the rule?
- What evidence establishes the employee's actual conduct—not merely that an accident occurred?
- Does the applicable statute recognize a defense for the specific conduct, and what level of intent, willfulness, or proof is required?
- Did a safety violation cause the injury, or is it unrelated to the mechanism of injury?
- A policy violation does not automatically defeat compensability. Some states apply narrow statutory requirements, and exceptions may apply.

F. Intoxication, Intentional Injury, Horseplay, Fighting, or Personal Activity

- Is there reliable evidence of intoxication or impairment, rather than rumor or assumption?
- Does the state require proof that intoxication or misconduct caused the injury, and what evidence establishes causation?
- Was the injury intentionally self-inflicted, or is there evidence of an intentional act by another person?
- Was the employee engaged in horseplay, a fight, or a personal activity? Was the conduct prohibited, known, tolerated, or part of the work environment?
- What statutory wording and case law govern this defense? Verify its elements and exceptions.

G. Coming-and-Going Rule and Travel-Related Injuries

- Was the employee commuting between home and the regular work location, or traveling for an employer-related purpose?
- Was the employee on a special mission, making a required stop, transporting employer property, or traveling between job sites?
- Did the employer provide transportation, reimburse travel, or require the employee to travel as part of the job?
- Did the injury occur on employer premises, in a parking area, or at a location covered by a state-specific rule?
- What exceptions to the ordinary coming-and-going rule apply in this jurisdiction? Rules and exceptions differ substantially by state.

H. Occupational Disease, Repetitive Trauma, and Exposure

- What exposure or repeated activity is alleged, over what time period, and at which workplaces?
- Is the condition linked medically to employment exposure under the applicable legal standard?
- Are there non-work exposures, prior employers, or other possible contributing causes to evaluate?
- What date-of-injury, manifestation, last-exposure, or responsible-employer rules apply?
- Have exposure records, job analyses, safety data, and relevant medical opinions been preserved?

I. Intervening Events, Idiopathic Events, and Alternative Causes

- Did another event occur between the work activity and the claimed injury?
- Is there evidence of a personal medical event, unexplained fall, or other possible cause?
- Was the employee exposed to a work-related hazard that contributed to the injury even if a personal condition was involved?
- What medical and factual evidence is needed to distinguish correlation from causation?
- How does the applicable state treat idiopathic events, personal risks, and intervening causes?

J. Misrepresentation, Fraud, and Inconsistent Accounts

- Are there material inconsistencies among the incident report, recorded statement, witness accounts, medical history, and other records?
- Can the inconsistency be explained by timing, misunderstanding, language, memory, or another reasonable factor?
- Is there reliable evidence of a knowing, material misrepresentation, and does the relevant law make it significant?
- Has evidence been obtained lawfully and handled under privacy and investigation requirements?
- Avoid accusations based on suspicion alone. Escalate material inconsistencies for a fair, documented review.

5. State-Specific Standards: Verify Before Applying

Workers' compensation law is jurisdiction-specific. Similar terminology can have different legal meanings, and a defense recognized in one state may be unavailable, limited, or subject to different proof requirements in another. Confirm the law in effect on the relevant date and identify the proper jurisdiction before relying on any defense.

Prevailing-factor language: Kansas and Missouri

Kansas law includes a prevailing-factor standard for the relationship between the accident and the injury, medical condition, and resulting disability or impairment. Do not assume Missouri uses the identical test or that the wording has the same application. Confirm the current statute, controlling cases, definitions, and the precise question the standard applies to in each state.

Utah: "Allens" defense

The term "Allen's Defense" is sometimes used in discussions of Utah workers' compensation causation and pre-existing conditions. Because the doctrine's scope, current status, and medical/legal thresholds require precise jurisdiction-specific analysis, do not summarize or apply it from a shorthand label alone. Verify the controlling Utah statute and case law with qualified Utah workers' compensation counsel, including the medical evidence and causal standard required for the particular claim.

Georgia: safety violations and pre-employment misrepresentation

Georgia law has specific provisions addressing willful misconduct and certain employment-application misrepresentations. A safety-policy violation or undisclosed pre-existing condition should not be treated as an automatic defense. Confirm the statutory elements, any required causal relationship, applicable case law, and the evidence supporting each element before relying on either theory.

Coming-and-going rules

The ordinary commute may be excluded in many jurisdictions, but exceptions vary. Special missions, employer-provided transportation, travel between work sites, employer premises, and other facts can change the analysis. Evaluate the actual travel circumstances under the law of the relevant state.

State-law verification checklist

- Identify the governing jurisdiction and date relevant to the injury.
- Locate the current statute, regulation, and controlling appellate decisions.
- Confirm every element of the potential defense and the burden of proof.
- Check notice, filing, investigation, and denial deadlines.
- Identify required denial notices, forms, explanations, and service methods.
- Assess whether contrary facts, exceptions, or recent legal changes affect the analysis.
- Document the source and date of legal verification and obtain counsel review when appropriate.

6. Medical Evidence & Claim Development

- Does the medical history accurately describe the mechanism of injury, symptoms, timing, and relevant prior conditions?
- Are diagnosis, causation, disability, restrictions, and treatment necessity being treated as distinct questions?
- Are there material inconsistencies between reported symptoms, clinical findings, work restrictions, and observed function?
- Have relevant prior records been requested lawfully and with required authorization?
- Would clarification from the treating provider or an appropriately qualified independent medical professional resolve a material question?
- Are requests for records, examinations, or opinions permitted and timely under the jurisdiction's rules?

- Has the claims team considered evidence both supporting and weighing against compensability?

7. Questions That Drive Action

TOPIC	QUESTION TO ASK
Investigation status	What steps are complete, what remains outstanding, who owns each task, and when is it due?
Evidence gaps	What missing evidence could change the compensability decision?
Potential defenses	Which defenses were considered, what elements apply, and what evidence supports or defeats each one?
Medical causation	Has the relevant causal question been answered by an appropriately qualified medical professional?
Legal review	Does this issue require state-specific counsel review before a decision is made?
Decision rationale	Can the file clearly explain why the claim is accepted, denied, or still under investigation?
Deadlines and notices	What statutory deadlines and notice requirements apply, and how are they being tracked?
Reassessment	What new evidence would trigger reconsideration, and how will it be handled?

8. Decision Documentation & Escalation

For a disputed or potentially noncompensable claim, make sure the file can tell a coherent story:

- The facts known at the time of the decision and how they were obtained.
- The investigative steps taken, including material steps that remain outstanding.
- The applicable legal standard and the specific elements considered.
- Evidence supporting the decision and material evidence pointing the other way.
- The reason conflicting evidence was credited, discounted, or referred for further review.
- The decision date, required notices, service, and applicable deadlines.
- Who reviewed the decision, including counsel where appropriate.
- How later evidence will be considered and the decision updated if required.

Escalate promptly when

- A denial may depend on a novel, uncertain, or state-specific legal doctrine.
- Medical causation is disputed or evidence is materially conflicting.
- A deadline is approaching and the investigation is incomplete.
- There is a potential fraud allegation, privacy concern, or sensitive employment-record issue.
- The proposed decision relies on alleged misconduct, intoxication, misrepresentation, or a narrow statutory exception.
- The file lacks a clear rationale or the decision appears inconsistent with available evidence.

9. Working Review Worksheet

Use this worksheet to structure discussion with the claims administrator. It does not replace required claim forms or legal documentation.

Claim / employee identifier
Jurisdiction and date of injury
Alleged injury / condition
Key facts established
Key facts still unverified
Potential defense or legal issue
Applicable statutory / case-law standard
Evidence supporting the issue
Evidence against the issue / contrary facts
Additional investigation needed
Responsible person and due date
Counsel review needed? Why?
Decision / current status
Decision rationale and documentation location
Next review date / trigger

10. Trusted Research & Legal Review

Use official state statutes, regulations, agency guidance, and controlling court decisions whenever possible. Secondary compendia can help identify issues and locate primary authority, but they should not replace verification of current law.

For each state, confirm the latest updates and follow links to underlying statutes, regulations, and cases. Record the date checked and consult local counsel for consequential or uncertain questions.

Important Disclaimer

This reference is for general educational and operational issue-spotting purposes only. It is not legal advice and does not establish that any claim is compensable or noncompensable. Workers' compensation law varies by jurisdiction and changes over time. Defenses may be limited by statute, case law, procedural requirements, evidentiary standards, and facts specific to the claim. Employers should coordinate with their insurer or claims administrator and qualified counsel. No claim should be denied solely because an issue appears in this reference.